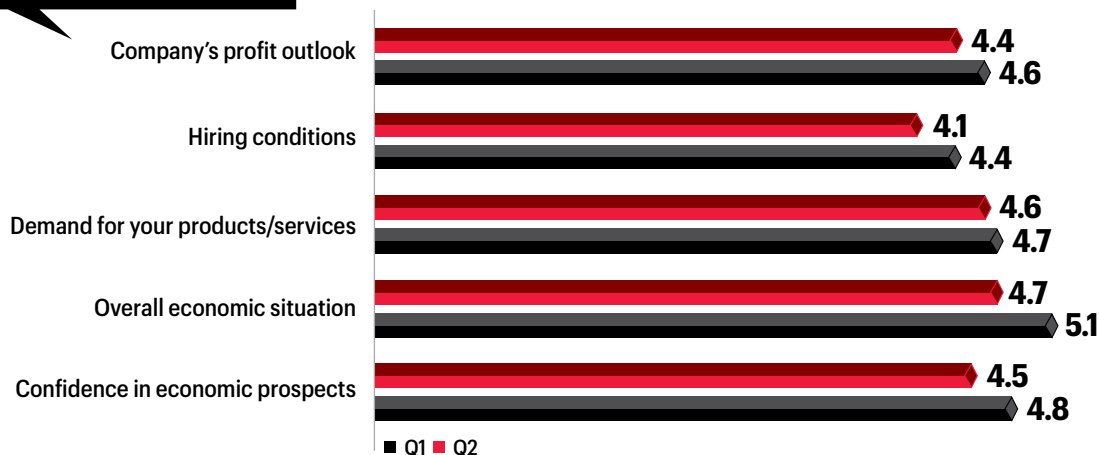


NO RESPITE

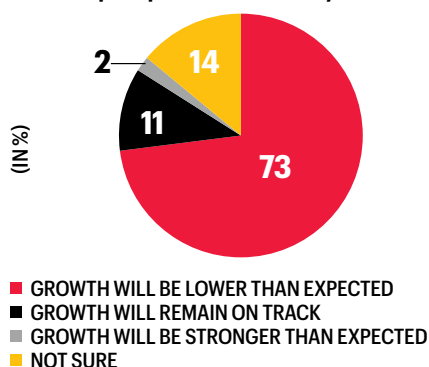
Down Across Parameters



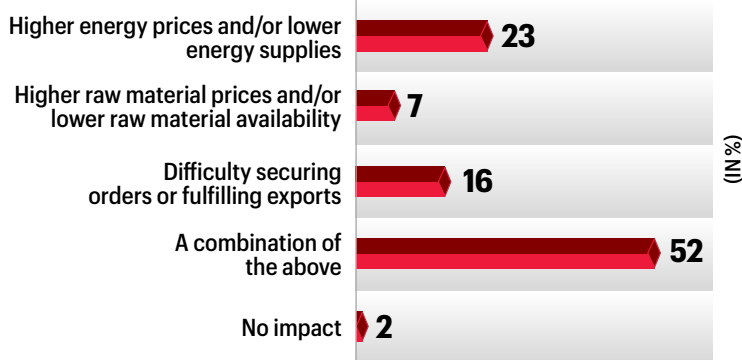
ON A SCALE OF 10

WORRIES ABOUT FOR CORPORATE INDIA

Are you concerned that ongoing geopolitical tensions and a weak monsoon could affect India's economic growth prospects this fiscal year?



Three months into the West Asia conflict, how has your business been impacted?



they face at present and their plans for the future.

The war impacted almost all businesses in some form or the other. As the conflict continued past the three-month mark, 52% of businesses reported that they faced a combination of challenges emanating from it, including higher or lower prices and supplies of energy and raw materials and difficulty in securing orders or fulfilling exports. Only 2% of respondents said their business was not impacted in any manner by the war.

Faced with higher energy and raw material costs, 46% of businesses are also considering passing on price increases to consumers, though 36% remain undecided.

The depreciation of the rupee, which slumped to a record low of 96.9 in late May, negatively impacted 67% of businesses polled, although 17% said they were positively impacted.



MADAN SABNAVIS
CHIEF ECONOMIST,
BANK OF BARODA

“Everybody seems to have been cautious in Q1 and nobody wants to invest as of now. El Niño will impact incomes and the ability to spend. Everybody is in wait-and-watch mode”